age required for training. For job roles requiring prior technical qualifications, 105,493 of the 123,533 certified candidates—over 85 per cent—did not meet eligibility criteria. The issue persisted even under PMKVY 4.0. As of October 9, 2024, another 118,000 underage candidates had been certified. Finally, that error was cured technically: in May 2025, the ministry removed minimum age norms for most courses, retaining them only where legally required or in hazardous trades.

Target allocations to TPs were also highly skewed—a concern raised not only by the CAG but also by several people INDIA TODAY spoke to, including the ex-MSDE official. Of the 6,099 TPs that participated across the first three phases, 84 per cent of all training targets were allocated to just 10 per cent of them. The next 40 per cent received 14 per cent, while the remaining half were allotted a meagre 2 per cent. "The system was crippled because eligibility criteria were often relaxed," says a Delhi-based labour economist, speaking anonymously. "A large number of TPs emerged after the scheme was announced, suggesting that many saw government incentives as a business opportunity." Similar concerns surfaced in the selection of partners running Pradhan Mantri Kaushal Kendras (PMKKs), the ministry's model training centres. An INDIA TODAY analysis found that 68 companies ran 711 PMKKs nationwide, but just 15 firms—about a fifth—controlled 483 centres, or more than two-thirds of the total.

CRACKING THE WHIP

Acting on the CAG findings, NSDC issued show-cause notices to around 20 current and former employees over alleged irregularities in PMKVY's implementation. This was amidst significant leadership churn at the organisation. In May last year, NSDC abruptly removed its then acting CEO, Ved Mani Tewari. Following his ouster, MSDE filed a complaint with Delhi Police alleging "misappropriation at NSDC" and accusing officials of taking decisions without authority or the board's approval.

The ministry earlier this year told Parliament that it has taken cognisance of the CAG's findings and strengthened monitoring under PMKVY 4.0 through measures such as Aadhaar-based e-KYC, biometric attendance system, unique beneficiary IDs and QR-coded digital certificates. According to data shared, by October 31, 2025, MSDE had already blacklisted 178 training centres under PMKVY 4.0 for violating scheme guidelines. These include certain skill councils—like for telecom and media & entertainment sectors—set up as autonomous industry-led bodies by NSDC. In some cases, financial penalties were imposed, and 41 FIRs registered for serious irregularities.

Beyond implementation failures lies a deeper challenge: aligning training with labour market demand. The CAG observed that there was "no institutionalised mechanism to align PMKVY interventions with sector or state-specific skill gaps". Although training targets were supposed to be guided by skill-gap studies, such studies were conducted in only 24 of the 37 sectors covered under the scheme. The result was a gap between training supply and employment demand. Nearly 60 per cent of projected incremental demand for manpower between 2015 and 2022 lay in five sectors—construction, logistics, beauty & wellness, furniture & fittings, and tourism & hospitality—yet these sectors together accounted for only 22.7 per cent of SST/ SP certifications under PMKVY. Conversely, sectors such as retail, electronics and apparel made up more than 40 per cent of training despite representing less than 10 per cent of projected demand.



> **"IT IS A FLAWED ASSUMPTION THAT IF EDUCATION IS NOT WORKING, SKILLING WILL FIX THE PROBLEM BY PUTTING PEOPLE INTO JOBS"**
>
> **– GAYATHRI VASUDEVAN**
> Founder, Sambhav Foundation

GETTING BASICS RIGHT

For some experts, the deeper problem lies in how skilling itself is conceptualised. Gayathri Vasudevan, founder of Sambhav Foundation, which works on skilling with vulnerable communities, feels PMKVY rests on a flawed assumption—that if formal education is failing, short-term training can simply step in and place people into jobs. For many, skilling itself is not aspirational. "Short-term programmes frequently suffer from poor design," says Vasudevan. "Skilling should be treated more like a public health intervention—requiring sustained investment in behavioural change rather than just training infrastructure." Penalising trainers, she cautions, alone cannot address these social realities.

The ex-MSDE official points to another structural issue: skill programmes typically intervene after schooling or college. "It is very difficult to get a 20-year-old interested in a new topic," he says, suggesting that integrating vocational skills into school education—as proposed under the National Education Policy 2020—may prove more effective. Equally important, he adds, is global recognition of Indian skill certifications. Only when workers such as electricians or care providers can secure jobs in countries like Germany or Japan will skills training become aspirational.

There is nothing wrong with the idea of PMKVY. Aadhaar-linked bank accounts helped scale up DBT; the programme helped build elements of a national skilling ecosystem—from occupational standards and training infrastructure to world-class curriculum and institutional capacity. Yet the broader picture remains sobering. Skilling requires patience, continuity and a deeper understanding of education systems, labour markets and human behaviour. It must be more than a numbers-driven programme. ■